

**BEFORE THE
FEDERAL MARITIME COMMISSION**

DOCKET NO. 15-11

IGOR OVCHINNIKOV, IRINA RZAEVA, and DENIS NEKIPELOV,

— vs. —

**MICHAEL HITRINOV a/k/a
MICHAEL KHITRINOV,
EMPIRE UNITED LINES CO., INC., and CARCONT, LTD.**

INFORMAL DOCKET NO.: 1953(I)

KAIRAT NURGAZINOV,

— vs. —

**MICHAEL HITRINOV a/k/a
MICHAEL KHITRINOV,
EMPIRE UNITED LINES CO., INC., and CARCONT, LTD.**

COMPLAINANTS' STATUS REPORT

Complainants herein submit this Status Report to make the Commission aware of changes in status regarding the above captioned matter. As of the time of this writing there have been several significant developments which have occurred since complainants' last Status Report docketed on March 14, 2018 (Document 186).

The Commission may recall the issue of non-party, Sergey Kapustin ("Kapustin"), who previously sought, *inter alia* to 1) intervene in this matter; 2) have complainants' counsel 'disqualified' from representing the complainants herein; 3) to strike and/or 'seal' certain filings and documents in this matter; and 4) generally interfere with the orderly and expeditious litigation of this matter. The Commission may further recall that Kapustin is a defendant in an ongoing Federal litigation in the U.S. District Court for the District of New Jersey, captioned as

Ardak Akishev, et al. v. Sergey Kapustin, et al., U.S.D.C. – D.N.J. Docket No.: 13-cv-07152, and that he is also a defendant in the criminal proceeding initiated by the U.S. Department of Justice, captioned as *United States of America v. Sergey Kapustin*, U.S.D.C. – D.N.J. Docket No.: 2:18-cr-00135-SDW. Recent developments in those proceedings are addressed for the Commission’s reference, below.¹

Respondents have previously explained some of the procedural history in the matter of Akishev, *supra*, as may be relevant for the Commission on the issue of Kapustin having reassigned any cross-claims he may have had in that lawsuit against EUL and Hitrinov - - this was set forth in Respondents’ Reply to Complainants’ Exceptions (Document #182 on the Commission’s Docket), on page “9” wherein counsel explains that: “A group of defrauded customers, excluding Complainants, then filed suit against Global, under RICO and other statutes, in the U.S. District Court for the District of New Jersey. The New Jersey plaintiffs obtained a judgment against Global in the amount of approximately \$2.3 million, but were unable to collect due to actions taken by Global, including the hiding of assets and sham bankruptcies. The plaintiffs thereafter settled their complaint against Global in return for an assignment of Global’s purported claims against EUL”.

The ID at p. 19 explains that:

The court has not yet resolved the issue of whether Empire's loans to Kapustin gave it an ownership interest in the cars. "[T]hrough the assignment of the Global entities' claims against the [Empire] defendants, the 21 plaintiffs [in the New Jersey case] who were victims of Kapustin's and the Global entities' fraud are now prosecuting the claims of the Global entities against the [Empire] defendants." *Akishev v. Kapustin*, No. 13-cv-07152 (NLH) (AMO), slip op. at 23 (D.N.J. Dec. 8, 2016) (Opinion) (Doc. 395)²

¹ It is further worth noting up front that Kapustin is awaiting sentencing at this time, currently scheduled for August 15, 2018.

² The litigation in the matter of Akishev continues, and as of the time of this writing, there is currently an in-person status conference scheduled for August 8, 2018. It is anticipated that discovery in this matter will include production of documents and testimony by respondents herein on the issues of (a) any investment agreements or financial arrangements with the Empire Defendants; and (b) any arrangements with the Empire Defendants related to the shipment, storage, and disposal of the cars sold to victims of defendants’ fraud.

The criminal proceeding was mentioned in Complainants' prior Status Reports of January 15, 2017 (Document 142) and March 14, 2018 (Document 186) where it was explained in the Status Report that Kapustin used Hitrinov's company to ship certain vehicles, the purchase and sale of which were the *res gestae* of the criminal Complaint, and that the transactions at issue in said case were the same transactions at issue in the instant case now pending before the Commission. As of the time of this writing, the Court's docket in the Criminal proceeding indicates that: (1) an Information; (2) an Application for Permission to Enter Plea of Guilty; and (3) a Plea Agreement have been filed on the docket, copies of which are annexed hereto as Appendix "A", "B" and "C", respectively. It has been anticipated that Kapustin's plea deal would involve cooperation with the authorities and disclosure of information that may be relevant and necessary for this Commission's Final Decision, which is currently due on August 1, 2018 - - the requirement that he cooperate with authorities prior to sentencing has now been confirmed.

As to Complainants' belief that the criminal matter would result in disclosure of information that may be relevant and necessary for this Commission's Final Decision, page "1" of the Information (Appendix "A") explains that Kapustin was an automobile dealer who "...sold cars for a living and conducted his business in Elizabeth, New Jersey and Delran, New Jersey, under the name of Global Auto. Kapustin also utilized alternate businesses called "Global Cars, Inc.", "G" Auto Sales and "Effect Auto Sales" (collectively herein "Global") which he often/occasionally substituted for Global".

Page "1" of the Information also states that "...Kapustin's scheme to defraud centered around enticing Russian citizens to purchase luxury cars, via the internet..." and that "[h]e maintained websites, written in Russian, with claims of access to a wide variety of luxury cars, at reasonable prices." Page "2" of the Information states that Kapustin: "...represented that he could produce these cars, once purchased, at a warehouse in Kotka, Finland" and that "Once paid

in full, Kapustin used various ploys, such as additional storage fees or shipping costs, to avoid delivering the advertised vehicles. On the rare occasion that a purchased vehicle actually was delivered, those cars were usually of inferior make and model, and were routinely “salvage” vehicles that had been totally written off by the original insurers, due to floods, hurricanes or some other natural disaster.”

Respondents will not dispute that the relevant time period set forth in the Information includes the time period of events and omissions set forth in the Complaint herein, nor will they dispute that the *Information* explains that Kapustin made it public knowledge, through the internet and his websites that he was selling cars through his dealership for export from the United States to a warehouse in Kotka, Finland.

As to the Presiding Officer’s discussion regarding the nature of the relationship between Kapustin and the respondents, beginning on page “9” of the ID (Document 152) it would appear that the U.S. Attorney’s Office has a statement of facts that conflicts materially with that of the Presiding Officer - - in the Information there is no discussion about loans or other business arrangements between Kapustin and Empire; and in the Presiding Officer’s ID there was no discussion regarding Kapustin’s advertisement to the public regarding his business through the internet and his websites, and the public knowledge that he was selling cars to be exported from the United States to a warehouse in Kotka, Finland. Additionally, paragraph “6” of the Criminal Complaint against Kapustin (annexed as Appendix “1” to the Status Report of January 15, 2017) explains that CarCont refused to release a car to one of the victims “...without significant additional charges...” - - again no discussion on the issue of any loan allegedly due and owing from Kapustin to respondents.

The Commission may additionally recall that complainants had long suspected that Kapustin does not read or write in English, has no monies or funds with which to hire or retain

other counsel³, and that it is, has been, and continues to be complainants' contention that documents filed and/or docketed with the Commission in Kapustin's name were in reality authored with the assistance of respondents, and were executed by Kapustin in exchange for the promise that they would pay him significant sums of money to make false statements regarding the nature of the relationship between Kapustin and respondents. In the first instance Kapustin explains his inability to prepare sophisticated legal documents in English without any outside assistance on page "1" of his Application for Permission to Enter Plea of Guilty (Appendix "B") where he states as follows:

"English is [not] my native language. My formal education stopped after [12th grade]".

Kapustin's absolute right to the assistance of independent counsel is not and never has been disputed in this proceeding, but rather, the issue is and has been his suspected collusion with respondents *and their counsel* and their attempts to offer him monies to execute the documents prepared by counsel on Kapustin's behalf. The Commission may recall that Maria Temkin, Esq., represents the plaintiffs in the matter of Akishev, supra. Attached is a Certification from the undersigned, annexed hereto as Appendix "D" regarding two emails which the undersigned received from Ms. Temkin on July 19, 2018 and that were sent to her law office from Kapustin, wherein he forwards her an affidavit signed by him, explaining as follows: "[Here is] one of the letters which was prepared by Michael Hitrinov together with a translation for me", and also wherein Kapustin writes to respondent's counsel, Jon Werner, Esq., stating as follows:

"Dear John and his well-known [collaborator] Misha Khitrinov, you are obliged to return the cars stolen from customers and also to confess before the court that you came up with a story about the \$12,000,000 that I allegedly stole, and that you also offered me \$125,000, in order for me to take your side of the story..."

The foregoing, which appears to be an admission from Kapustin that respondents offered him

³ It should be noted that in the criminal matter, Kapustin is being represented by the office of the Federal Public Defender.

\$125,000 to execute the papers filed by him in this proceeding, as well as a continued demand⁴ from him that the respondents herein return “the cars stolen from customers” (alleged by complainants to include the cars at issue in this matter) may be relevant for the Commission.

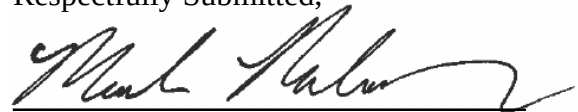
CONCLUSION

Consequently the foregoing, along with the attachments annexed hereto are respectfully submitted as same reflect a ‘change in status’ of this case with regard to both respondent, Hitrinov and his counsel, as well as to non-party, Kapustin so as to inform the Commission of said change in status as same may reflect upon or be determinative of the Commission’s Final Decision, which is currently due on August 1, 2018.

In closing, and as always, complainants thank the Commission for its many continuing courtesies and considerations in this case.

Dated: July 19, 2018
Brooklyn, New York

Respectfully Submitted,



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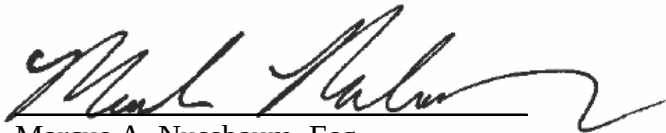
⁴ An earlier demand from Kapustin that Hitrinov release the cars is already on the Commission’s docket (to wit: Document 101) in the appendix to Complainants’ Motion to Supplement the Record. Paragraph “20” of the Affidavit of Maria Temkin, Esq. quotes a passage from an email between Kapustin and Hitrinov’s counsel, Jon Werner, Esq. wherein Kapustin states that “...Hitrinov and Mitnik...stole peoples’ property...” and asking “If Hitrinov states that I owe him, then he should sue me, why did he touch the clients’ cars...”.

CERTIFICATE OF SERVICE

I hereby certify that I have this day served the **COMPLAINANTS' STATUS REPORT and APPENDIX** upon Respondents' Counsel at the following address:

Nixon Peabody LLP
Attn: Eric C. Jeffrey, Esq.
799 9th Street NW, Suite 500
Washington, DC 20001-4501

by first class mail, postage prepaid, and via email (ejeffrey@nixonpeabody.com).

A handwritten signature in black ink, appearing to read "Marcus A. Nussbaum", with a long horizontal flourish extending to the right.

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Dated: July 19, 2018 in Brooklyn, New York.